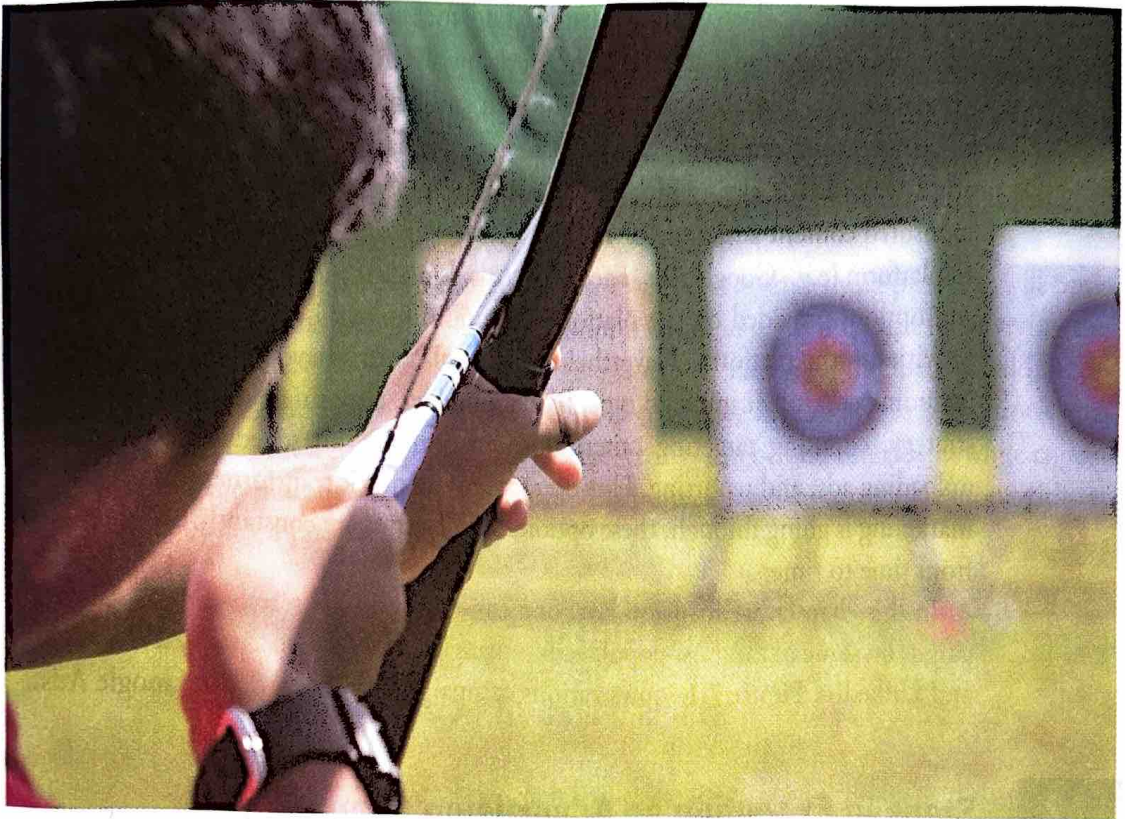


CHAPTER 7



Adobe Stock | #214352212

Advertising Avenues in the Digital World: Execution and Measurement

LEARNING OBJECTIVES

After completing this chapter, you will be able to:

- Learn to execute digital marketing campaigns on various advertising platforms.
- Appreciate the different steps and their role in successfully executing an ad campaign.
- Learn various bidding strategies in online advertising.
- Understand targeting options present in Google and Meta advertising platforms.
- Examine the performance of online advertising campaigns.

7.1 Introduction

Running digital advertising campaigns and measuring their success is equally as important as creating a strategy. The steps involved in executing digital marketing campaigns depend on the type of campaign and platform one is willing to use. At a broad level, one can choose between search, display, and video ads, but there are other types of ads also, which include native ads, product listing (shopping) ads, sponsored content ads, and InMail ads. Moreover, one must be accustomed to the ad platform (e.g., Google Ads, Facebook Ads, LinkedIn Ads, Bing Ads), the features and options provided by the platform, the terminology involved, and the flow of activities in the platform. Nevertheless, most platforms have similar basic features, including choosing campaign type, fixing a budget, choosing bid price and bidding strategy, choosing targeting criteria and placements, ad scheduling, creating or uploading ads, and reporting. However, given the quick transformation that digital marketing is going through, these options and features are constantly being updated from time to time.

In this chapter, we focus on how one can execute both search and display campaigns on some of the most popular advertising platforms such as Google, Facebook, and LinkedIn. Figure 7.1 shows various campaign types available in Google Ads.

7.2 Steps in Executing an Advertising Campaign

Executing an advertising campaign involves a systematic process designed to achieve specific marketing goals and ensure optimal use of resources. The steps involved in creating an advertising campaign may vary to some extent from platform to platform (e.g., Google Ads vs. Meta Ads vs. LinkedIn Ads); nevertheless, overall, they all follow similar approaches and processes.

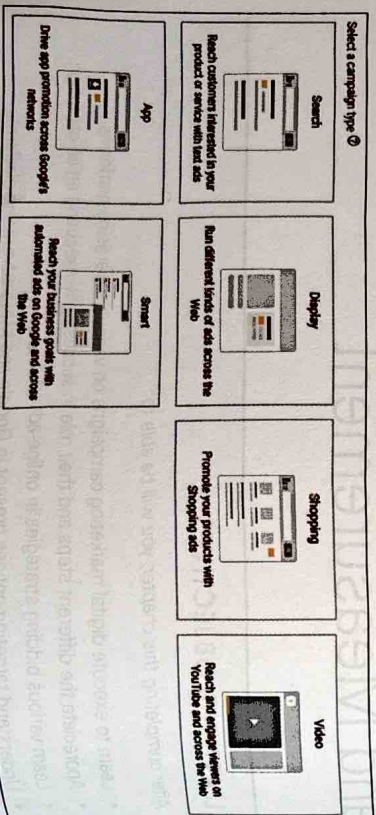


FIGURE 7.1

Campaign types in Google Ads.

Source: Rishi Dwesari's Google Ads account.

Step 1: Choosing a Campaign Goal

Most of the ad platforms first ask for advertising goals and pre-customize some of the advertising options accordingly. These goals include sales, leads, website traffic, and app promotion. If one chooses app promotion as a goal, the advertiser must ensure the click leads to the app installation page. Some goals (e.g., sales, leads) may use optimization based on previous advertising data to achieve the advertising goal. For this, the advertiser must have conversion tracking activated (refer Exhibit 7.1) and should have run adequate campaigns in the past.

When the goal is to increase website traffic, the advertising platform will optimize the click price to achieve maximum clicks in a given budget by lowering the cost per click. Whereas when the goal is to generate sales, the focus would be on acquiring customers most likely to convert. Refer Figure 7.2 to see various goal options provided by Google Ads. These settings can be fine-tuned later while choosing the bidding strategy. One can also proceed with campaign creation without choosing a campaign goal.

EXHIBIT 7.1

What Is Conversion Tracking, and How to Set It Up?

Conversion tracking allows companies to monitor and evaluate the actions consumers take toward achieving a business goal, such as clicking an ad, making a purchase, signing up for a newsletter, or downloading content. These tracked actions help determine the effectiveness of advertising campaigns and marketing strategies. For instance, platforms like Google Ads call this feature conversion tracking, while Facebook Ads refer to it as Facebook Pixel. Regardless of the name, the principle remains the same—measuring how well advertisements lead to desired outcomes. Importantly, conversion tracking isn't limited to online sales; businesses focused on lead generation or brand awareness can also benefit by tracking actions like form submissions or downloads.

Setting up conversion tracking involves integrating a snippet of HTML code, provided by the ad platform, onto the webpage customers visit immediately after completing the desired action (e.g., a "Thank You" page after purchase or sign-up). Tools like Google Tag Manager simplify this process, even for non-technical users. Another vital component in conversion tracking is the Google Click Identifier (GCLID). This unique code is appended to ad URLs and plays a crucial role in linking ad clicks to specific user actions. By capturing the GCLID, businesses can track which clicks result in conversions, whether online or offline. Without proper conversion tracking, it becomes impossible to accurately assess advertising performance, leaving marketers in the dark about which strategies truly work.

Sources: <https://support.google.com/google-ads/answer/9744275> (accessed December 22, 2024).

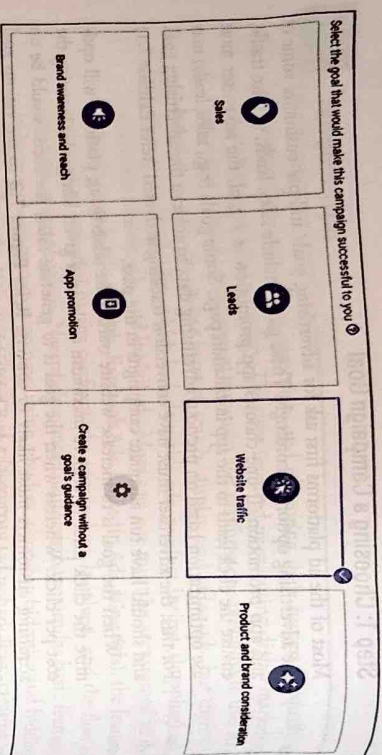


FIGURE 7.2 Advertising goals in Google Ads.

Step 2: Selecting a Campaign Type

In the next step, the marketer must choose the type of campaign they would like to execute. Google Ads offers six campaign types—the most common being search, display, and video ads. As discussed earlier, search ads appear on search engines. In contrast, display and video ads appear on ad networks, which include various publishers that partner with Google to show ads on their properties (websites and apps), apart from Google's websites, such as YouTube. How one can target, pay, and choose ad formats depend on the type of campaign chosen.

Step 3: Choosing the Location

Regardless of the campaign type (display, search, or video ads), the next step is to target the geographic locations where one would like viewers to see the ads. Targeting can be done by country, city, and even pin codes for major cities globally. Moreover, Google and Facebook also allow advertisers to target using *radius targeting*, where one can target a particular area in a city or various cities or towns adjoining a location that has been chosen as the center. For example, a 70-kilometer radius targeting Delhi (the Capital of India) would also target adjoining towns like Gurugram, Noida, Ghaziabad, Sonapat, and Rohak, but not farther towns like Panipat and Karnal. Similarly, a 50-mile radius targeting around London (the Capital of England) would target the adjoining towns of Reading, Maidstone, Chelmsford, but not Oxford, Cambridge, and Colchester, which are farther away.

The *pin mode* in radius targeting, on the other hand, can be used to target exact locations within a city. For example, a bakery located near Chancery Lane, London, may want to restrict its advertising to neighboring blocks, where the majority of its customers are present and can use this feature and advertise as little as within one mile of a particular geographic location (represented by latitude and longitude). Moreover, if this bakery has branches at different locations within London and each

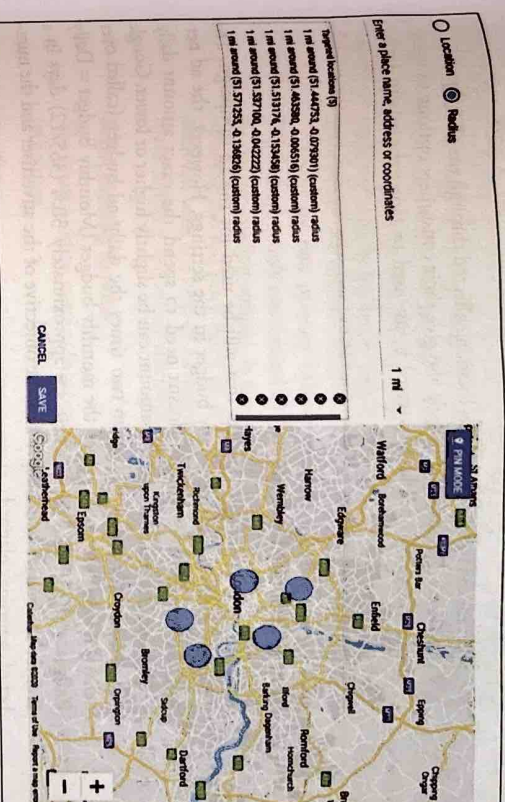


FIGURE 7.3 Multi-location radius targeting in Google Ads.

Source: Rishi Dwesari's Google Ads account.

wants to reach potential customers within a mile, such targeting can also be done quickly. Figure 7.3 shows five precise locations targeted within London. Exhibit 7.2 describes how ad networks can fetch locations for targeting.

EXHIBIT 7.2

How Do Ad Networks Like Google Ads Know the Geographic Location of Users?

Depending on various Google products and services (e.g., Google Maps, Gmail, Android Software) consumers use, they may provide Google with different types of location information, which is used for targeting advertisements. Location can come from real-time signals, like devices (e.g., laptop, desktop, mobile), IP address or device location (mobile GPS), and from past activity on Google sites (e.g., search like "best cafe in Paris"), saved places (e.g., when we save our office location in Google), and services people have visited. Users can disable Google Location Services, but in that case, Google can rely on other ways to legitimately access the user's location (e.g., through apps to which one has given access to location information).¹

¹<https://policies.google.com/technologies/location-data?hl=en> (accessed December 22, 2024).

The ads can be served based on location collected through the above means. While service providers like Google also give their consumers options to turn ad personalization off, the data stored is not used to target the ads in such cases.²

Step 4: Deciding the Budget

It is necessary to provide a budget that will be used for the ad campaign. The advertiser needs to provide a daily budget in the settings. However, the ad network or demand side platform doesn't need to spend the exact amount daily. Depending on several factors, this amount can be slightly higher or lower. Google Ads, for example, can spend up to two times the daily ad budget (called over delivery), though it would exceed the monthly budget (Monthly Budget = Daily Budget $\times$ 30.4).³ Why 30.4? There are approximately 30.4 (365/12) days in a month. The budget would depend on the objective of the advertiser and the number of campaigns planned.

Historical Trivia!

The Evolution of Google Ads

Google Ads, originally launched as Google AdWords in 2000, has become a cornerstone of digital advertising, shaping how businesses connect with audiences online. Initially, it offered a fixed-cost model where advertisers paid a set amount for keywords. In 2002, it revolutionized the industry by introducing the pay-per-click (PPC) auction model, where advertisers paid only when users clicked their ads, making advertising more accessible and performance-driven. The introduction of the Quality Score in 2005 further transformed the platform by rewarding relevant and high-quality ads with better placements and lower costs, ensuring a superior user experience.

Over the years, Google Ads expanded its reach beyond search. The Google Display Network and YouTube Ads introduced image and video advertising to millions of websites and users at a later stage. Mobile advertising innovations, such as call extensions and app campaigns, addressed the growing dominance of smartphones. In 2018, AdWords was rebranded as Google Ads, reflecting its integration of search, display, video, and app campaigns under one unified platform.

Source: <https://instapage.com/blog/google-ads-words-infographic/> (accessed December 22, 2024).

Step 5: Deciding the Bidding Strategy

The bidding strategy is directly related to the goal of the campaign. Based on the bidding strategy, the ad network will decide (often automatically) which impressions to prioritize and how aggressively we bid. Given that the return on investment (ROI) of advertising largely depends on the bidding strategy, choosing the most appropriate one becomes essential.

There are two primary bidding strategies available—manual and automatic. While there is only one manual bid option (manual cost per click), there are various automatic bidding options. In automatic bidding, Google Ads uses previous data to optimize the bid price based on the chosen objective (refer Exhibit 7.3). This is achieved with the help of various machine-learning algorithms. The various automatic bidding options are discussed below.

Smart Bidding Options

The smart bidding options focus on conversions and are the most advanced bidding techniques.

- **Target cost per action (CPA):** The target CPA focuses on increasing conversions while targeting a specific CPA. The user can provide the maximum CPA one is willing to achieve, and the algorithm will try to reach the CPA within that range.
- **Target return on ad spend (ROAS):** ROAS bidding optimizes conversion value and helps to increase conversion value while targeting a specific ROAS. The advertiser needs to provide product prices and margins to calculate conversion value. This value represents the income generated relative to the advertising investment.⁴ Thus, this bidding option focuses on maximizing the profitability of advertising.
- **Maximize conversions:** As the name suggests, this option provides maximum conversions for a given budget. Thus, this bidding option will minimize the cost of conversions to maximize conversion.
- **Maximize conversion value:** This bidding option is similar to ROAS but focuses on maximizing the conversion value for the given budget. Again, it is required that the necessary information is provided before choosing this bidding strategy so that conversion values can be calculated.
- **Enhanced cost per click (ECPC):** This is the closest automated bidding option to the manual cost-per-click bidding option, adding an intelligent choice to manual bidding.⁵ Although one can be charged more than the maximum CPC for a single click in ECPC bidding, Google tries to keep the average CPC below the maximum CPC bid.

²<https://support.google.com/google-ads/answer/2453995?hl=en> (accessed December 22, 2024).

³<https://support.google.com/google-ads/answer/1704443?hl=en> (accessed December 22, 2024).

⁴<https://support.google.com/google-ads/answer/6268637?hl=en> (accessed December 22, 2024).

⁵<https://support.google.com/google-ads/answer/2464964?hl=en> (accessed December 22, 2024).



Smart bidding leverages artificial intelligence trained on hundreds of billions of search queries and signal combinations to optimize bids in real-time auctions, aligning with advertisers' objectives. On average, advertisers who shift their bidding strategy from targeting CPA to targeting ROAS can achieve 14% greater conversion value while maintaining a comparable ROAS.

Source: <https://support.google.com/ads/answer/6167140> (accessed December 22, 2024).

EXHIBIT 7.3

Role of Historical Data in Bid Optimization

Similar campaigns must have been run in the past to benefit from optimization. The automated bid options can be chosen only if one has racked up enough historical performance. The ad networks use historical data and other signals to drive the optimization (e.g., optimizing for conversion and optimizing for the least cost per acquisition). For example, to use target ROAS bidding, most campaign types need at least 20 conversions in the past 45 days. For app campaigns, historical data of at least 10 daily conversions (or 300 conversions in 30 days) is required. For most of the campaigns, it is recommended that at least 50 conversions have been made in the past 30 days. This is necessary to maximize results and give machine-learning algorithms enough data to make informed bidding decisions.

Cost per Click (CPC) Bidding Models

To gain clicks to generate traffic to the website, there are two cost-per-click bid strategies:

- **Maximize clicks:** This automated bid strategy automatically manages bids to bring the most clicks within the budget.
- **Manual CPC bidding:** This option lets one manage the bidding independently rather than optimizing algorithms. One can set different bids for each ad group in the campaign or for individual keywords or placements. This is a good bidding option to start with, as it gives more control to the marketer.

Impression-based Bidding Models

If one wants to focus on impressions, these bidding strategies can be used. Impression-based bidding strategies help create awareness, as unclicked ads are not noticed. Moreover, creative ads may be more cost-effective if purchased based on impression, as they tend to have higher click rates and, thus, lower overall CPC.

It is important to note that one can pay only for clicks if search ads and impression-based bidding options are unavailable. This is logical, as search ads are pulled

in nature and appear only when a user is searching for a query that is (keyword) targeted by the advertisers. However, one can choose impression-based bidding models in search and video ads (specifically for short and bumper ads).

Cost per mille (CPM) and viewable cost per mille (vCPM)

These manual bidding strategies focus on increasing awareness but do not necessarily generate clicks or traffic. One can set the amount they will pay for each 1,000 ad impressions on the Google Display Network or YouTube. The only difference between CPM and vCPM is that in the case of the vCPM model, the ad network only charges for the viewable impressions.

View-Based Bidding Model (for Video Ads Only)

Cost per View (CPV)

CPV is the default bidding option for video ads. In CPV bidding, advertisers are charged for video views or interactions (such as clicks on call-to-action overlays, cards, and companion banners). A view is counted when someone watches 30 seconds of the video ad (or less if the video is shorter than 30 seconds) or interacts with the ad, whichever comes first. The advertiser has to bid the maximum amount they are willing to pay per view (Max. CPV).

Apart from the above bidding strategies, Google Ads offers two more bidding strategies specifically applicable to search ads:

- **Target search page location:** This big strategy automatically sets the bids to increase the chances that an ad appears at the top of the page or on the first page of search results.
- **Target outranking share:** This automated bid strategy lets the advertiser to choose a domain they want to outrank so that their ad is displayed above that domain's ads or shows when that domain's ad is not. They can set how often they want to outrank that domain, and Google Ads automatically sets the search bids to help meet that target.

These five steps—choosing campaign goal, deciding campaign type, location targeting, budgeting, and bidding strategy—are done at *campaign level*. The following steps are done at the *ad group level*. To understand campaign levels and ad groups, refer [Exhibit 7.4](#).

Step 6: Targeting

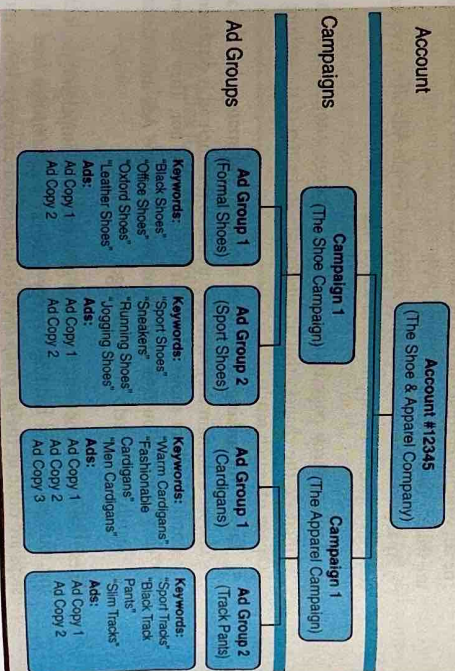
Targeting is a crucial element in maximizing the effectiveness of both search and display advertising. It determines who sees your ads, ensuring they reach the most relevant audience at the right time. By understanding how targeting works in search and display ads, advertisers can craft more strategic and impactful campaigns. We outline this in detail below in Section 6A (Search Ads) and Section 6B (Display Ads).

EXHIBIT 7.4

Campaign and Ad Groups in Google Ads

The campaign creation process in Google Ads has two levels—campaign level and ad group level. A campaign is “a set of ad groups (ads, keywords, and bids) that share a budget, location targeting, and other settings. Campaigns are often used to organize categories of products or services that advertisers offer.”⁶ By default, the settings applied at the campaign level apply to the next level, that is, the ad group level.

An ad group contains one or more ads that share similar targets. Each campaign is made up of one or more ad groups. Ad groups are used to organize the ads by a common theme. For example, ad groups can be segregated into the company’s product or service types, whereas the campaign can be made at the company level. Steps 1 to 5 are undertaken at the campaign level, while Steps 6 and 7 are done for various ad groups under a campaign. The figure below illustrates the two levels:



Step 6A: Search Ads—Targeting

We discuss targeting separately for search ads and display ads as keywords primarily target search ads. Moreover, it is necessary to provide relevant keywords to search ads, and, thus, the proper keyword selection becomes the cornerstone for a successful search ad campaign. The keywords can be a single word or a short phrase with a

⁶https://support.google.com/google-ads/answer/6304?hl=en&ref_ttopic=24936 (accessed December 22, 2024).

few words. The process is done through keyword bidding, in which one puts a competitive bid (or keyword bid) in a pay-per-click auction to help secure ad placement on the search engine results page (SERP).

Advertisers must bid for the most relevant keywords to ensure the website gets quality traffic through the search ads. Keyword selection is both a science and an art, and ideal keywords are more likely to result in clicks and conversations. Although keyword selection can be aided by specific tools (such as Keyword Planner from Google), it is equally important to understand customer behavior and predict the search terms. Tools such as Google Keyword Planner make it easy for the advertiser to identify possible keywords and tell the extent to which people are searching keywords, the level of competition, and the expected bid range for targeting top positions. Exhibit 7.5 shows how the Keyword Planner can be used. Nevertheless, many

EXHIBIT 7.5

Using Google Keyword Planner to Identify Optimum Keywords

Google Keyword Planner is a free tool that helps find relevant keywords in search engine marketing. The planner provides a list of keywords, along with search volume, completion, and suggested bid price, and also helps in choosing competitive bids for various keywords. Thus, the keyword planner helps search for keywords and predicts how the keywords might perform.

Below are the keyword results for the single phrase “MBA in international business.” The keyword planner suggested 392 keywords, of which the 20 most relevant keywords (as suggested) are listed. The results are based on searches in India from April 2019 to March 2020 for “English Language.”

Thus, when entering one single phrase, the planner suggests multiple keywords that can be targeted. The planner also gives search volume, competition, and top-page bids. Let’s discuss each of these variables briefly:

- **Keywords:** The keyword planner automatically suggests related keywords when entering a word(s)/phrase(s) or website. Google uses its algorithms and data to suggest many other similar and related keywords that can be used. The advertiser can choose keywords that are more relevant to their business, things in which it specializes while keeping account of other variables.
- **Search volume:** This shows the average number of times people have searched for a keyword and its close variants. The number is relative and does not reflect actual absolute searches. The min range shows the minimum values a particular month may have received, while the max shows the maximum.⁷

⁷<https://support.google.com/google-ads/answer/302257?hl=en> (accessed December 22, 2024).

- **Competition:** This shows the number of advertisers on each keyword relative to all keywords across Google. This data is specific to a particular location. The competition is reflected in the range from low to medium to high. The index value denotes the same more granularly in numbers.
- **Top of page bid:** This reveals the amount historically paid by various advertisers to get the top ad position (up to four ads) on the SERP. The low range corresponds to the 20th percentile, whereas the high range corresponds to the 80th percentile of all the bids charged for the particular keyword. This is a significant variable in the keyword planner, as it gives an idea to the advertiser for planning bid amounts for a particular keyword.

Now that we understand what each data variable represents, let us discuss how to choose the most ideal keyword. Selecting the keyword would depend on many factors, and the best keyword can vary from situation to situation. Nonetheless, some common principles are given in the strategy grid, which must be considered while selecting the keywords. However, it is essential to note that all the variables are related, and these rules would apply in an absolute sense, assuming *ceteris paribus*.

Keyword Selection Strategy Grid

Keywords	Search Volume	Competition	Bid Price
Choose the keyword most relevant to the business.	Look for keywords with more search volume.	Keywords with lower competition are better.	Look for keywords that have lower bid prices.

Google Keyword Results for Search Term “MBA in International Business”

Keywords	Search Volume		Competition Rating	Index Value	Top of Page Bid (in ₹)	
	Min	Max			Low Range	High Range
MBA in international business	1,000	10,000	Medium	41	27.96	96.96
mba business school	1,000	10,000	Low	20	40.02	135.77
International MBA	100	1,000	Medium	44	28.4	182
Hult International Business School ranking	100	1,000	Low	25	47.56	428.68
Hult Business School ranking	100	1,000	Low	24	52.54	266.97

(Continued)

Keywords	Search Volume		Competition Rating	Index Value	Top of Page Bid (in ₹)	
	Min	Max			Low Range	High Range
lift executive MBA	100	1,000	Medium	36	42.59	86.59
international business school	100	1,000	Medium	35	35.85	226.32
celis mba	100	1,000	Low	2	25.19	98.13
international institute for management development	100	1,000	Low	10	41.11	145.87
World Business School ranking	100	1,000	Low	9	17.32	66.83
world MBA rankings	100	1,000	Low	5	24.37	184.95
MBA in foreign trade	100	1,000	Low	23	23.72	74.65
Marian international institute of management	100	1,000	Low	4	21.78	51.6
is world ranking	100	1,000	Low	4	100.23	101.9
amity International Business School	100	1,000	Low	15	18.25	60.96
international institute of management studies	100	1,000	Low	7	11.76	106.39
Ramchandran international institute of management	100	1,000	Low	11	20.15	1450.5
mba international management	100	1,000	Low	16	24.04	112.09
MBA in international business management	100	1,000	Low	32	42.5	180.46
global mba rankings 2020	100	1,000	Low	15	21.4	234.17

other factors, such as ad rank (refer Exhibit 7.6) and the company's unique selling proposition, must be considered while choosing the keyword. Also, one can use Auction Insights Report for Google search ads to understand the performance of specific keywords. We will discuss this in detail in Chapter 11.

The marketer must create a list of all the relevant keywords that can be used across campaigns. This process can be more complicated if the company sells multiple products or services, serves customers in different countries, uses various languages, and has many other reasons. To some extent, keyword research for search

EXHIBIT 7.6

Ad Rank: Google's Algorithm to Decide Winning Spot for Search Ads

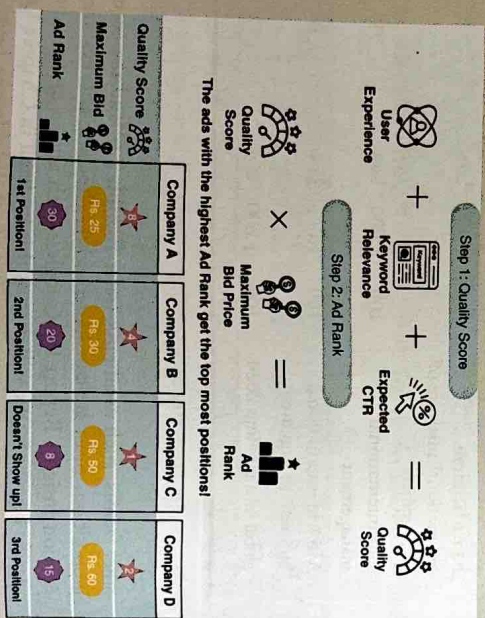
Chapter 6 discussed how ad auctions occur for programmatic advertising. It was evident from the discussion that the winning bid in the auction is usually the highest. You must be thinking, why do we bring this topic up again?

In search ads, the position of the ad or whether the ad will appear on the SERP depends not only on the bid amount but also on the ad rank. Ad rank is the value used to determine the ad position (where ads are shown on a page relative to other ads) and whether the ads will appear.

Ad rank is calculated based on various parameters. These include the bid amount, auction-time ad quality (including expected click-through rate, ad relevance, and landing page experience), the ad rank thresholds, the competitiveness of an auction, the context of the person's search (i.e., person's location, device, time of search), and the expected impact of extensions and other ad formats.⁸

Thus, even if one has the highest bid price, there is no guarantee that their ad will appear first. If the ad rank is low, it is quite possible the search ad would not even show up or take the bottom position. Ad rank is dynamic and is recalculated each time an ad is eligible to appear and compete in an auction.

Google Ads provides information about Ad Quality Score for previously run search campaigns. These insights can be used to improve and fine-tune planned campaigns and enhance ad rank.



⁸<https://support.google.com/google-ads/answer/11752122> (accessed December 22, 2024).

engine optimization (SEO) can also be used when finalizing keywords to be targeted for search ads.

As explained in Exhibit 7.5, keyword selection and ad creation are done at the ad group level. Thus, one must add relevant keywords and related search ads in the same ad group. These ads will show at appropriate positions on the SERP when someone searches for a similar query on the search engine and meets the other targeting criteria. Advertising platforms (such as Google Ads and Bing Ads) provide Keyword Match Types, which can be set on keywords to control which searches trigger the ads' appearance. One can choose a match type to target specific or general search queries for a particular keyword. Table 7.1 discusses this in detail.

TABLE 7.1 Keyword Match Types in Google Ads

Match Type	Explanation	Symbol	Keyword	Sample Search Query Match
1A. Broad Match	Shows the ad when the keyword is present anywhere within the search query. It also shows the advertisement for all close variants of the term and synonyms and misspellings. It helps target maximum search terms to increase traffic and build an initial search list. On the downside, it can bring traffic that is less targeted.	None	Soccer Shoes	Football Shoes, Shoes for Soccer, Buy Football Shoes
1B. Broad Match Modifier	Shows the ad if the search query is an exact or close variant of a keyword, which includes misspellings, singular/plural forms, abbreviations and acronyms, and stemming (such as "play" and "playing"). Variants don't include synonyms or related searches.	+Keyword	+Soccer +Shoes	Buy Soccer Shoes, Soccer White Shoes
2. Phrase Match	Shows the ad when the search term matches the keyword phrase or is a close variation of that phrase and can include additional words before or after the phrase. However, the ads will not show if the word(s) are added in the middle of the phrase, which changes the meaning of the phrase.	"Keyword"	"Soccer Shoes"	Cheap Soccer Shoes, Soccer Shoes Deals
3. Exact Match	It shows ads when the search term matches the exact keyword or has close variations. Close variants include searches for words with the same meaning and can also include spelling or grammar differences between the query and the keyword.	[Keyword]	[Soccer Shoes]	Soccer Shoes, Soccer Shoe

(Continued)

Match type	Explanation	Symbol	Keyword	Sample Search Query: March
4. Negative Match	Does not target any search term containing that specified keyword. Thus, it can be a cautionary measure not to show ads for particular words. Negative keywords can be used in combination with all the above match types. Thus, there are three harmful match types—negative broad, negative phrase, and negative exact.	-Keyword	-Soccer Socks	Will not show ads for any word containing Soccer Socks or related searches.

Source: Compiled from <https://support.google.com/google-ads/answer/7478529?hl=en>

It is important to note that keywords are used with other targeting techniques, such as geographic and demographic. The advertiser should ensure that enough keywords have been added and the reach is adequate (and not very low) to get noticeable traffic on the website. Ad platforms give such estimates, which change dynamically with any change in the targeting. The second part of Exhibit 7.5 shows an example of one such estimate.

Step 6B: Display Ads—Targeting

As discussed in Chapter 6, display ads provide myriad ways of targeting markets, and these options differ across advertising platforms. While social media websites like Facebook have much more information specific to user demographics, large ad networks, such as Google Display Ads, usually have a better understanding of content consumption and intent and a broad reach of publishers.⁹ Given that there are too many targeting options, we will briefly look at these across two most popular display advertising platforms—Google Display Network and Facebook (which includes Instagram).

Targeting Options on Google Display Network

There are two primary targeting options: automated targeting and manual targeting.

- **Automated targeting:** This option finds the best placements of display ads across the network and is an excellent way to get high-value traffic. The advertiser can control how conservatively they want to expand their reach. With minimum expansion, the ads would appear to fewer but more relevant audiences, whereas as one maximizes the setting, the ads are served to a larger audience.⁹

⁹<https://www.worstream.com/blog/ws/2012/05/15/ipo-facebook-vs-google-display-advertising> (accessed December 22, 2024).

¹⁰<https://support.google.com/google-ads/answer/190506> (accessed December 22, 2024).

- **Manual targeting:** The manual targeting options include audiences (affinity and in-market audiences), demographics (gender, age, parental status, household income), and content (keywords, topics, and placement).

• **Audiences:** These are groups of people with specific interests, habits, intents, what they're actively researching, their interactions with the company's business, and other relevant behaviors.¹¹ Ad networks like Google keep track of user activity for people who opt-in and help advertisers by reaching people who browse websites, use apps, or watch videos with such interests. There are primarily two types of audiences:

- **Affinity audience:** It takes a relatively long-term view of audience creation compared to in-market audiences. Rather than looking at one particular purchase intent, like in-market, affinity targeting analyzes someone's interests, passions, and lifestyle to understand their overall identity better.

■ **In-market audiences:** It reaches out to potential customers actively researching or looking to buy products and services. In-market audiences target individuals with more recent behavior than affinity audiences and thus help target customers who are potentially interested in particular products or services.

- **Demographics:** Advertisers can also target individuals with specific demographics, which include gender, age, parental status, and household income (refer Figure 7.4). Google collects audience information in various ways. However, this information may not be available for all users classified as

Gender	Age	Parental status	Household income
☒ Female	☒ 18 - 24	☒ Not a parent	☒ Top 10%
☒ Male	☒ 25 - 34	☒ Parent	☒ 11 - 20%
☒ Unknown	☒ 35 - 44	☒ Unknown	☒ 21 - 30%
	☒ 45 - 54		☒ 31 - 40%
	☒ 55 - 64		☒ 41 - 50%
	☒ 65+		☒ Lower 50%
	☒ Unknown		☒ Unknown

FIGURE 7.4

Demographic targeting categories in Google Ads.

Source: <https://ads.google.com/new/campaigns/new/display> (accessed March 23, 2025).

¹¹<https://support.google.com/google-ads/answer/2497941?hl=en> (accessed December 22, 2024).

unknown.¹² Demographic information helps advertisers reach out to people within the specific demographics they are interested in.

o **Content:** This targeting method lets advertisers choose where to show their ads. Content targeting can be done in three ways—through keywords, topics, and placements.

■ **Keywords:** It allows advertisers to choose words or phrases related to their products or services. The ads are matched to relevant websites, apps, and videos depending on these keywords. However, this targeting must not be confused with keyword targeting for search ads, as the person with a search query similar to the keyword. In this case, the ad is shown in a context similar to the keyword for more impact, but the ad is still paid in nature.

■ **Topics:** Topic targeting automatically places the ads on webpages, apps, and videos that are the same or similar to the topic(s) chosen by the advertiser. The list of issues is prepopulated in Google Ads based on broad industries or interests. One can select appropriate topics from the list. Figure 7.5 shows the suggested topics for the word “Gym” given by advertisers.

■ **Placements:** In placement targeting, the advertiser can choose specific websites or webpages, YouTube channels or videos, or apps on the Google Display Network or YouTube. For example, if one wants to show ads where people consume sports content, they can target sport-specific websites or webpages such as espn.com, nbcsports.com, and sports.vic.com.

Gym	None selected
☐ Beauty & Fitness	Your ad will show to all topics that match your other targeting. Add specific topics to narrow your targeting.
☐ Beauty Services & Spas	
☐ Fitness	
☐ Fitness Equipment & Accessories	
☐ Fitness Instruction & Personal Training	
☐ Gyms & Health Clubs	
☐ Yoga & Pilates	
☐ Hobbies & Leisure	
☐ Clubs & Organizations	

FIGURE 7.5 Suggested topic placements for “Gym” in Google Ads.

¹²<https://support.google.com/google-ads/answer/2580383?hl=en> (accessed December 22, 2024).

Google Ads also provides estimates of weekly impressions served on websites, the number of subscribers on YouTube channels, and views on specific videos so that one can make more informed choices.

These are the various targeting options available on the Google Display Network. It is important to note that one can choose multiple targeting options. However, the advertiser should also consider the estimates provided as the changes to targeting are made since the targeting may make the reach either too broad or too narrow. Next, we look at some standard targeting options on Facebook.

Good to Know!

Instagram and Facebook Become One!

Facebook acquired Instagram, a popular and quickly growing photo-sharing platform, in April 2012 for \$1 billion. What caught Mark Zuckerberg’s fancy was the platform’s sizeable mobile customer base and the experience Instagram provided to users.

In his company’s (Facebook) blog, Zuckerberg mentioned, “This is an important milestone for Facebook because it’s the first time we’ve ever acquired a product and company with so many users. We don’t plan on doing many more of these if any at all. But providing the best photo-sharing experience is one reason so many people love Facebook, and we knew it would be worth bringing these two companies together.”¹³

Facebook later integrated advertising across the two platforms, and today, marketers can choose if they would like to show ads on Instagram while planning their campaigns on Facebook Ads Manager. The two platforms are also integrated on the user side by allowing the user to upload content simultaneously on the other platform when they are on either of the platforms.

Targeting Options in Facebook Ads

As a social network, Facebook can be contextually different from many other display ad networks, such as Google Ads. Not only does it have a more controlled layout for ads to appear, but users on Facebook are usually at leisure and relaxed, which can make engagement with an ad a lot more different.

Social networking websites have much more data provided to advertisers for targeting. Usually, they would know the exact date of birth, gender (if provided correctly by the user), and even more information like anniversary, check-in locations, brands one has liked, travel history, education, alma mater, and more.¹⁴ Thus, Facebook provides advertisers with many granular targeting capabilities that

¹³<https://about.fb.com/news/2012/04/facebook-to-acquire-instagram/> (accessed December 22, 2024).

¹⁴<https://www.facebook.com/business/ads/ad-targeting> (accessed December 22, 2024).

are unavailable on other online and traditional advertising platforms. We discuss these below:

- **Custom audiences:** Custom audiences allow companies to target customers who have interacted with the business (e.g., visited the website) or who are similar to such customers, referred to as lookalike audiences. To add custom audiences (people who have interacted with the brand), advertisers can provide the customer database containing emails, Facebook user IDs, phone numbers, mobile advertiser IDs, or Facebook pixels (especially for retargeting). This enables the advertiser to reach out to people who may have recently checked out a product or left it in the cart. With lookalike audiences, advertisers can target a new set of people similar to the custom audience. They can match the audience to a much more granular level with the help of demographic, interest, and behavioral data.¹⁵ One needs to provide a list of a minimum of 100 customers to find a lookalike audience.¹⁶ Moreover, Facebook allows advertisers to control the audience size by adjusting a slider from 1 to 10% of the population on the platform in a specific country. If the number is lower, Facebook will focus on providing a more *similar* audience, while a higher percentage will maximize the audience *reach*.
- **Demographics:** Apart from age and gender, Facebook has detailed demographic targeting capabilities, which include education, life events, and relationship status. Thus, an advertiser can use demographic targeting to target females living in Dublin who are single and have graduated from Trinity College.
- **Interests:** This lets advertisers reach people with specific interests, activities, and hobbies they are involved in, pages they have liked, and topics they follow. By targeting people based on their interests, the advertiser can reach potential customers interested in their products or services. There is a wide range of options some of which are summarized in Table 7.2. Moreover, one can target even more niche segments by combining interest-based targeting with other options.

TABLE 7.2 Targeting Options in Facebook Ads

Demographics	Interests	Behavior
Education (Education Level, Fields of study, Schools/University, Undergrad years)	Business and industry (Advertising, Banking, Construction, Design)	Anniversary (Anniversary within 61–90 days)
Financial (Household income: top 5%, top 10%, top 10–25%, top 25–50%)	Entertainment (Films, Games, Music, Reading, Television program)	Consumer classification (People who prefer high value goods, People who prefer high value to mid value goods)

(Continued)

¹⁵<https://www.worldstream.com/facebook-vs-google> (accessed December 22, 2024).

¹⁶<https://www.facebook.com/business/ad/custom-to-lookalike-audiences> (accessed December 22, 2024).

Demographics

Interests

Behavior

Life events (Anniversary, Date of birth, New job, New Relationship)	Family and relationships (Family, Fatherhood, Parenting, Motherhood, Weddings)	Digital activities (Canvas gaming, Console gamers, Facebook payment users, Facebook page admins)
Parents (New parents, parents with adult children, parents with preteens, parents with toddlers)	Fitness and wellness (Bodybuilding, Meditation, Physical exercise, Running, Yoga, Weight training)	Ex-pats (Close friends of those who live abroad, Lived in specific countries, Family of those lived abroad)
Relationship (Single, In a relationship, Married, Engaged, Divorced, Complicated)	Food and drink (Alcoholic drink, Cooking, Cuisine, Drink, Food)	Mobile device user (Device users by specific operating system, Facebook access on mobile)
Work (Employers, Industries, Job Titles)	Hobbies and activities (Arts and music, Home and garden, Pets, Travel, Politics and social issues)	Multicultural affinity (USA) (African American, Asian-American, Hispanic)
	Shopping and fashion (Beauty, Clothing, Fashion accessories, Toys, Technology)	Politics (USA) (Likely engagement with U.S. political content: Conservative, Liberal and Moderate)
	Sports and outdoors (Outdoor recreation, Sports)	Purchase behavior (Engaged Shoppers)
	Technology (Computers, Consumer Electronics)	Soccer (Football fans: high content engagement, moderate content engagement, Friends of football fans)
		Travel (Commuters, Frequent international travelers, returned from travel: one week ago, two weeks ago)

Source: Compiled from www.facebook.com/adsmmanager

Notes: Some of the targeting options are available in specific countries. This is a reflective list and doesn't contain all the options. Many of the sub-categories given have further options, for example, under Cooking Food and Drink Cuisine one can choose many options like: Chinese, German, Indian, Italian.

- **Behavior:** Targeting behavior means reaching out to people who have done some specific action recently or meet specific criteria. It can target people based on their travel history or specific event dates that have passed or are about to come (e.g., recently wed, moved to a new location). Facebook even provides targeting based on political and cultural affinity in the United States.

The wide range of targeting options with pinpointed geographic targeting (even up to 1 mile/kilometer) makes Facebook much more powerful. Nevertheless, its reach is largely limited to Facebook and Instagram users, and unlike other ad networks, it cannot be used to advertise across most other websites. Next, we discuss how one can design ads for different types of campaigns.

Step 7: Creating the Ad

Although ad creation is the last step in executing digital advertising, it is also one of the most critical steps. The ad creation process is done at the ad group level, and it is suggested to create multiple ads for each ad group. Not only does it ensure people do not see repetitive advertisements, but automatic rotation and A/B testing allow advertisers to understand which ad performs better. Moreover, unlike traditional advertising, creating multiple ads can be done quickly and at no additional expense for most ad formats. Given that search and display ads are very different in design, we discuss them separately.

Search Ads Creation

As search ads do not have images or other creative elements, we only need excellent targeting and impactful copy. It may sound straightforward, but specific nuances are involved in creating an impactful search ad. The search ad snippet has various elements, each with a purpose and a maximum character length. Below are the components that are commonly included in a search ad. You must have seen these appearing regularly whenever you search for something on a search engine. Figure 7.6 shows sample search ads from Google and Bing.

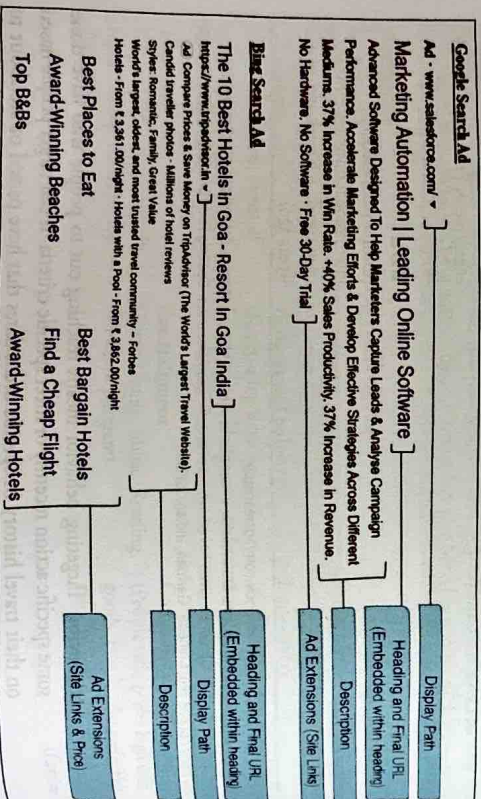


FIGURE 7.6 Sample Google and Bing search ads and ad elements.

As we can see, a typical search ad includes various elements such as display path and heading. We discuss them next.

Critical elements in a search ad include the following:

- **Final URL:** This is the link to the landing page that a user is directed to upon clicking the ad. It is important to note that the final URL is not visible to the user but is embedded in the clickable headline.
- **Display path:** This is the visible URL path the user sees along with other ad elements. In Google search ads, it's the first line of the ad, whereas in Bing, it comes below the headline in green font. Providing the display path is compulsory and must contain the company's homepage URL (which will be on the landing page). Apart from this, the advertiser can also mention any subpage paths if they desire.
- **Headline:** This is primarily the first thing that catches the user's attention (owing to its larger font and blue color). Thus, the headline must be clear in itself and catchy at the same time. Moreover, it is good to include any essential keywords targeted in the heading itself. This would increase the ad's relevance for the user and lead to a better ad rank. In Google search ads, one can write up to three headlines, which should be within 30 characters (including spaces). As mentioned above, the headline is the only clickable link apart from ad extensions in the search ad, with the final URL embedded within it.
- **Description:** As the name suggests, one can mention the product and services in more detail here. It is also helpful to highlight any unique offerings, current offers, and other information that would make the viewer more interested in clicking the ad. For example, the Salesforce ad in Figure 7.6 mentions how the software can increase marketing performance by stating specific numbers. In Google ads, two lines of description can be added, each with a maximum length of 90 characters. Though the elements are the same across popular search ad networks (e.g., Google, Yahoo, and Bing), the character length can vary.
- **Ad extensions:** Although optional, ad extensions are also an essential element in search ads. Not only do they provide additional information, but they also help improve ad rank. Both search ads in Figure 7.6 use site link extensions, whereas TripAdvisor (Bing search ad) uses price extensions. Exhibit 7.7 discusses the types and uses of ad extensions in detail.

EXHIBIT 7.7

Google Search Ad Extension Types

Ad extensions expand ads with additional information and give more reasons for viewers to click an advertisement. Extensions can be in various formats, including location information, call buttons, navigation links, links to specific parts of the website, additional text, and more. As extensions add more content to the ad, they give the ad greater visibility and prominence on the search results page. Thus, they tend to add more value to the ads by giving people

additional information and interactive ways of reaching the company—as with maps or calls. Moreover, extensions often increase the ad's click-through rate (CTR) by several percentage points.¹⁷

As there are various ad extensions, using the extensions relevant to the business goals is ideal. Most extension types require manual set-up, while some are added automatically when Google ads predicts they'll improve ad performance and the necessary information is present. Moreover, relevant extensions are known to improve ad rank (due to positive ad format impact) and thus must be included. It is suggested that extensions be used at the campaign level whenever possible to get added to various ad groups.¹⁸ Extensions are not charged separately, but clicks on ads (including extensions) are charged as usual. Although most ad extensions rely more on the context of search ads, some can be used both in search and display ads. Below are some of the prominently used ad extension types:

- **Sitelinks:** Sitelinks allow to add additional links to ads. These links can take people to specific pages on the site (e.g., a particular collection of products) other than the main ad URL. When someone clicks or taps on-site links, they go directly to the specified page. When used, a minimum of two site link extensions must be provided. Below is an example of a site link extension:

Ad • www.luxehotels.com/ • +1 310-870-5884
Luxe Sunset Boulevard | Hotels in Los Angeles, CA
 Customize Your Stay & Receive Our Best Rates When You Book On Our Website. On-Site Valet Parking, Modern Equipment, High-Speed Internet. Highlights: Wedding Specialists Available, Catering Team Available, Offering Individual Attention, Professional Design.
 Weddings & Special Events • Special Offers • Rooms & Suites • Make Reservations Online

- **Location extensions:** The clickable extension shows the business location address in a separate line. On mobile, they provide a link with directions to the business's physical location. Moreover, this extension can also show rating stars that one has garnered on Google My Business's listing.
- **Callout extensions:** This extension allows additional text to be added to the ad, apart from sub-headings and descriptions. Businesses can include additional text, likely increasing clicks and conversions like "free delivery" or "24/7 customer support."
- **Call extensions:** As the name says, businesses can add click-to-call phone numbers in the advertisement. This extension adds a phone icon on mobile devices that allows the user to call directly, whereas, on laptops and desktops, the number digits are displayed. Moreover, Google offers call conversion tracking for businesses to track their call extension data.

- **Message extensions:** This mobile-only extension lets people send text messages when the link is clicked. It is ideal for people who prefer text messaging over calling.
- **Structured snippet and dynamic structured snippet extensions:** This ad extension can show additional information on the advertiser's website when it matches the search query made by the user. This helps users ensure that the website products and services match their interests. As the name suggests, these extensions are dynamic, vary depending on the search, and may not appear in every ad.
- **Price extensions:** This extension lets the advertiser showcase various services or product categories with their prices by linking search users directly to those website sections. At maximum, one ad can contain up to eight cards that people can view for different options and prices.
- **App extensions:** This extension encourages people to download specific apps. Depending on the device, the click on the CTA button directs the user to an appropriate app downloading service (App Store or Google Play). This is an ideal extension if the primary goal is to drive app downloads.

Another way experienced advertisers can create ads is by using the *dynamic search ads* option. Dynamic search ads use the content on the website to create a dynamic ad headline and final URL, as well as display a URL that closely matches the specific search query. The process happens automatically when set up correctly. The advertiser needs to provide only the ad description. This ensures the ads are relevant to the search query and saves time. These ads are a good option for advertisers with large ad inventory and various products or landing pages (e.g., most e-retailers). However, the advertiser must ensure the pages are well-optimized so that dynamic search ads can correctly identify the themes and terms to show appropriate ad content.

Display Ads Creation

As display ads have various ad formats and sizes (especially for banner ads), the complexity of creation is slightly greater. This doesn't mean all display ads are challenging to create, but they often need a skill different from search ads. Due to the need for images (usually more than one) or videos to create display ads, a graphic designer is often required. Nevertheless, the ad networks offer simpler formats, stock images (usually free of cost), and tools to motivate new and small businesses to use these advertising formats effectively. In the following sections, we discuss primary display (banner) ad creation on Google Display Network, Meta, and LinkedIn Ads. We then briefly cover the nuances of creating video ads for platforms like YouTube.

Google Display Network

Google Display Network (GDN) is the world's largest ad network, featuring more than 2 million websites and apps where the ads can appear. It reaches over

¹⁷<https://support.google.com/google-ads/answer/2375499?hl=en> (accessed December 22, 2024).

¹⁸<https://support.google.com/google-ads/answer/7332837> (accessed December 22, 2024).

90% of internet users worldwide and thus is one of the most used platforms for display ads.

Good to Know!

Google Ad Strength

This rating is provided by GDN, which indicates the effectiveness of a display ad. The overall rating ranges from “Low” to “Average” to “Excellent.” Along with the rating, specific action item(s) are also mentioned, which can help improve the ad’s strength.

The indicative rating comes during the ad creation process (so that the advertiser can make necessary modifications) and during and after the completion of the campaign.

There are two common ways to create display ads on GDN, i.e., upload a custom display of a particular size (refer Exhibit 7.8 for standard sizes) or provide content for responsive ads, which GDN will automatically customize.

EXHIBIT 7.8

Common Animated and Non-Animated Image Sizes and Specifications for Google Display Network Ads

Square and Rectangle Format		Skyscraper Format	
Ad Size in Pixels	Format Name	Ad Size in Pixels	Format Name
200 × 200	Small square	120 × 600	Skyscraper
240 × 400	Vertical rectangle	160 × 600	Wide skyscraper
250 × 250	Square	300 × 600	Half-page ad
250 × 360	Triple widescreen	300 × 1050	Portrait
300 × 250	Inline rectangle		
336 × 280	Large rectangle		
580 × 400	Netboard		
Leaderboard Format		Mobile Format	
Ad Size in Pixels	Format Name	Ad Size in Pixels	Format Name
468 × 60	Banner	300 × 50	Mobile banner
728 × 90	Leaderboard	320 × 50	Mobile banner
930 × 180	Top banner	320 × 100	Large mobile banner
970 × 90	Large leaderboard		

(Continued)

Leaderboard Format		Mobile Format	
Ad Size in Pixels	Format Name	Ad Size in Pixels	Format Name
970 × 250	Billboard		
980 × 120	Panorama		
File Types Supported: GIF, JPG, PNG			
Maximum File Size: 150 KB			
Specifications for animated-image ads (GIF)			
Animation length must be 30 seconds or shorter.			
Animations can be looped, but the animations must stop after 30 seconds.			
Animated GIF ads must be slower than 5 FPS.			

Source: Compiled from <https://support.google.com/google-ads/answer/1722096> (accessed December 22, 2024).

Many advertisers these days choose to show responsive ads, as it reduces the workload of creating multiple ads in various sizes.¹⁹ When an advertiser decides to make a responsive display ad, they need to provide images, headlines, logos, videos, and descriptions separately, which GDN automatically mixes and matches to generate ads, depending on where they are supposed to appear. The advertiser can benefit by choosing responsive ads as they occur across websites, which may not accept some custom sizes. Nevertheless, if the advertiser decides to advertise on some standard websites that accept common display ad sizes, the creative can be directly uploaded in JPG, PNG, or GIF format. One must ensure that the creative meets the technical requirements (refer Exhibit 7.8).

Meta Ads

Meta ads (earlier known as Facebook Ads) provide a powerful opportunity for advertisers to reach more than 1.5 billion people worldwide. Through Meta Ads Manager, ads can appear on Facebook (Facebook and Messenger), Instagram, and audience network websites. Though much smaller than GDN, the audience network allows advertisers to target Facebook users outside of Facebook and Instagram. The various ad formats on Meta Ads are designed with the user experience of Facebook and Instagram in mind. Often, these ad formats give users an immersive experience rather than distract them. Though initially, Facebook had minimal ad formats, the number of ad formats has grown with time. Table 7.3 explains seven key formats of ads available in Meta Ads Manager. Moreover, many formats appear on Instagram that are similar to user- and marketer-generated content posted on Facebook and are native in nature.

To ensure that the ads dovetail within the Meta Ads environment and do not spoil the user experience, Meta Ads encourages marketers to use ads with high

¹⁹<https://support.google.com/google-ads/answer/6363750?hl=en> (accessed December 22, 2024).

TABLE 7.3 Meta Ad Formats and Technical Specifications

Ad Format	Description	Basic Technical Specifications
Image	Uses a single image of a product or brand.	Image-Based Ads File type: High-resolution JPG or PNG, including panorama and 360-degree images Minimum size (desktop): 476 × 249 pixels Minimum size (mobile): 320 pixels Image ratio: 1.91:1 to 4:5
Video	Video ads add life by adding motion and sound and are a great alternative to static ads. Facebook allows even short videos (more than 1 second) to be used in video ads.	Text: 125 characters
Slideshow	This format uses multiple images or videos, text, and sound. One must include 3 to 10 images or one video.	
Carousel	Carousel ads have up to 10 images or videos interlaced in a single ad, with the possibility of each photo or video having a link for a different CTA.	Video-Based Ads Recommended video file format: High-resolution video with H.264 compression with fixed frame rate, even supports 360-degree video Minimum resolution: 120 × 120 pixels Recommended audio format: Stereo AAC audio at 128+ kbps Video ratio: 9:16 to 16:9 Maximum video size: 4 GB max Video duration: Minimum 1 second to maximum 240 minutes Captions and video sound: Optional but recommended
Instant Experience	These ads open in a full-screen experience when the user clicks the ad on a mobile device.	
Collection	This format showcases multiple products and opens as an instant experience when the user clicks on it in a mobile environment.	
Lead Generation	Lead-generation ads allow advertisers to collect information through a form when the ad (image or video) is clicked.	

imagery. Thus, users are always advised to keep text low and advertising more image-centric.²⁰ Moreover, Meta allows advertisers to create newer and more engaging images and audio enhancements such as panoramic and 360-degree images and videos. We have provided these details and other technical aspects in Table 7.3.

The overall process of creating ads for most ad networks is similar, but the formats and technical specifications can vary. It is always helpful for the advertiser to check out these before creating ads for a specific network.

We next discuss some key factors that should be considered while creating display ads, regardless of where they are going to appear:

- *Choose appropriate and clear call to action (CTA) and headings.* The main reason to advertise is to motivate viewers to click on the advertisement. Thus, an explicit CTA must be mentioned. The CTA should be short but action-oriented. One should also choose an appropriate CTA, which can include “Download Now,” “Shop Now,” and “Learn More.” Even more

critical is heading, which often catches the user's attention first. Always use an easy-to-understand heading that motivates viewers to pay more attention to the advertisement.

- *Use impactful images and videos.* Advertisers often select display ads over text ads due to the possible visual impact. Therefore, the image or video must take center stage in the display ad. It should be visually appealing and clearly show what the ad is for. As people are prone to banner blindness (i.e., they tend to look away from the ads), the image should stand out from the crowd. It is advisable to use high-contrast lifestyle imagery, as studies show they tend to perform better.²¹

- *Focus on branding and landing pages.* It is equally important to keep the ad branding consistent with the landing page and other marketing collaterals for consistency. The ads should have the same brand colors, fonts, and other elements to ensure the brand gets recognized and recalled. Moreover, the logo should be at the location the brand uses across collaterals while ensuring it doesn't overlap with platform-specific logos such as *AdChoices*. It is equally essential to ensure people land on the right landing page and see what has been promised in the advertisement. If the ad promotes “20% Off on Entire Range of Jackets” whereas there are no product discounts on the landing page, chances are not only will advertising money go to waste, but it will leave a negative impression on the brand.

- *Create a sense of urgency.* It's always better to give more reasons to people to click the ad. Consider offering a limited range of products, extended warranties, or discounts. A sense of urgency by saying the offer “Ends Today” or that it's a “Last Chance” would boost the CTR. People are much more likely to click on ads that include this verbiage.

- *Test before going full scale.* It is easy to test if the display advertising is making the desired impact soon after the campaign goes live. Initially, campaigns should be executed with a small proportion of the budget, and one should examine A/B testing results, ad strength, and general metrics, such as CTR and CPC/CPM, before running campaigns with a total budget. Advertising strategy and execution should be adjusted if the numbers are unplanned.

LinkedIn Ads

In recent years, LinkedIn has transitioned from its origins as a digital resume repository into a multifaceted platform for professional engagement and business development. With a reported user base exceeding one billion globally,²² it now plays a central role in business-to-business (B2B) marketing strategies, particularly in sectors where professional identity and industry affiliation are key determinants of advertising efficacy. A distinguishing feature of LinkedIn lies in its unique audience

²⁰<https://www.facebook.com/business/help/980593475366490?i=124018284273864> (accessed December 22, 2024).

²¹D'Áze, X., & Hushern, E. X. (2003). Internet advertising: Is anybody watching? *Journal of Interactive Marketing*, 17(4), 8–23.

²²<https://about.linkedin.com/> (accessed March 20, 2025).

composition. Unlike generalist social media platforms such as Facebook or Instagram, LinkedIn is oriented exclusively toward professional networking. The specialization enhances its value proposition for B2B marketers, who benefit from access to a user base that includes senior decision makers, C-suite executives, and professionals across diverse industries.²³ Moreover, LinkedIn's advertising infrastructure supports nuanced segmentation by variables such as job title, company size, seniority, industry, and specific professional skills.

The platform offers a range of advertising formats, including Sponsored Content, Message Ads, Dynamic Ads, and Text Ads. Sponsored Content—native advertisements integrated within the user feed—is frequently employed for the dissemination of thought leadership and lead generation through gated assets such as whitepapers and webinars. Refer to **Figure 7.7** showcasing a Sponsored Content advertising format on LinkedIn. Message Ads, by contrast, deliver promotional content directly to users' inboxes and are typically leveraged for personalized outreach campaigns. These formats have demonstrated relatively high engagement and conversion rates in B2B contexts.²⁴ We present a comparative analysis of three popular advertising platforms—Google Display Network, Meta (Facebook/Instagram), and LinkedIn—in **Table 7.4**.

Nevertheless, LinkedIn advertising is not without limitations. Chief among them is the comparatively high cost-per-click (CPC), which often exceeds that of alternative platforms. However, this drawback is frequently offset by the superior

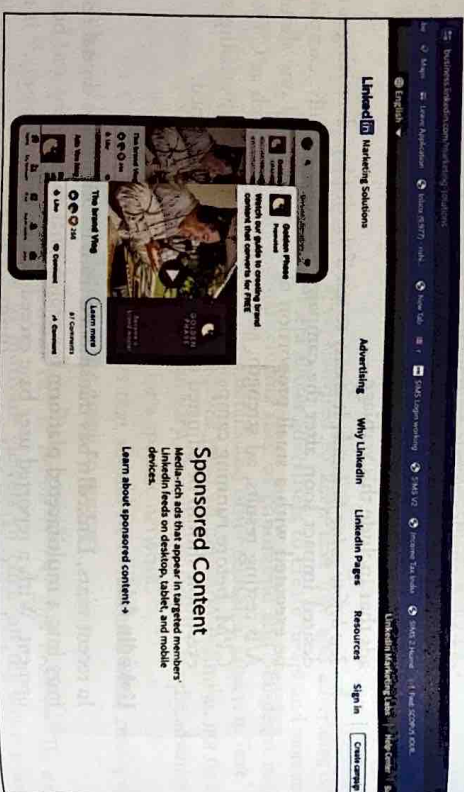


FIGURE 7.7

Snapshot showcasing LinkedIn Sponsored Content advertisement.

Source: <https://business.linkedin.com/marketing-solutions> (accessed March 20, 2025).

²³<https://business.linkedin.com/marketing-solutions> (accessed March 20, 2025).

²⁴<https://www.emarketer.com/topics/category/linkedin%20marketing> (accessed March 20, 2025).

TABLE 7.4 Advertising Platform Comparison: Google Display Network vs. Meta vs. LinkedIn

Aspect	Google Display Network	Meta (Facebook/Instagram)	LinkedIn
Audience Type/Demographics	Wide internet reach (~90% globally), mixed B2C & B2B audience.	Large social media user base, broad global consumer audience.	Professionals and decision makers, career-focused niche audience.
Targeting Capabilities	Contextual and audience targeting; strong remarketing.	Highly granular targeting using social data and behavior.	Precise B2B targeting by role, company size, industry, etc.
Ad Formats	Display banners, responsive ads, video.	Photo, video, carousel, stories, and instant experiences.	Sponsored content, messaging, text & dynamic professional ads.
Typical Cost (CPC/CPM)	Low (~\$0.63 CPC); budget-friendly for broad campaigns.	Moderate (~\$0.97 CPC); affordable with high reach.	High (~\$5+ CPC); premium for professional targeting.
Strengths/Best Use Cases	Great for awareness, retargeting, and visual branding.	Best for engaging B2C users with visual/social content.	Ideal for B2B lead gen, hiring, and reaching professionals.
Weaknesses/Limitations	Low CTR; often ignored or blocked; less intent-driven.	Lower buying intent; privacy limits targeting accuracy.	Expensive; smaller audience; limited for mass B2C reach.

Sources: Compiled from <https://www.klienboost.com/google/google-display-network>; <https://www.storagrowers.com/google-ads-benchmarks/>; https://business.linkedin.com/marketing-solutions/ad-targeting?utm_source=chatgpt.com (accessed March 22, 2025).

quality of leads and higher likelihood of engagement with target decision makers.²⁵ As such, for organizations seeking to enhance visibility within professional spheres or engage in account-based marketing, LinkedIn remains a strategically viable channel. Other than display advertising services, LinkedIn Sales Navigator is another tool that offers advanced search and engagement features to help sales professionals find and connect with potential customers. We discuss it in Chapter 13.

YouTube Ads

YouTube has emerged as a dominant platform for video-based advertising. With over 2 billion logged-in monthly users and extensive global reach, YouTube offers unique opportunities for advertisers aiming to engage a diverse audience. Video advertising on YouTube enables richer storytelling, deeper engagement, and targeted dissemination in a visually compelling and emotionally engaging way. As consumers increasingly prefer watching videos to reading text and YouTube is the go-to platform for video consumption, video ads on YouTube get higher attention as compared to many other ad platforms. TrueView ads are YouTube's signature ad format that give viewers the choice to watch or skip an ad—making them more

²⁵<https://blog.hubspot.com/customers/linkedin-ads-data> (accessed March 20, 2025).

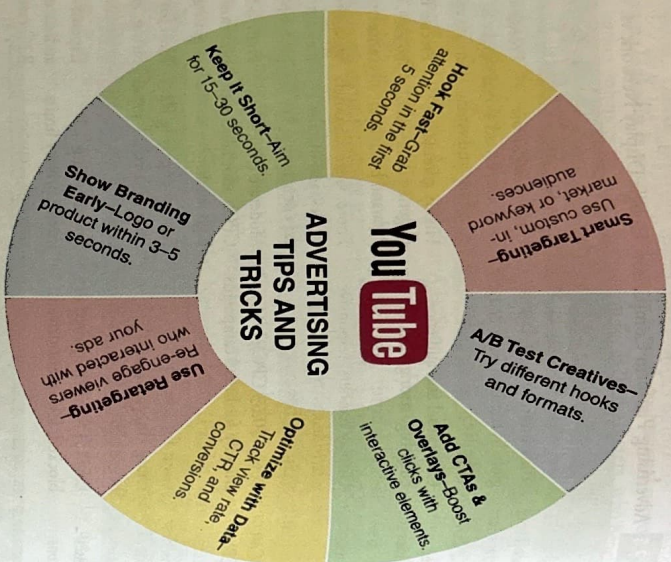


FIGURE 7.8 YouTube Ads best practices.

user-friendly and effective for advertisers. They were first introduced around 2010 and have been increasingly popular since then. Figure 7.8 lists some of the best practices to get maximum out of YouTube Ads. We discuss this and other types of YouTube Ad formats below.

Types of YouTube Ads

1. **Skippable In-Stream Ads (also known as TrueView Ads):** These ads play before, during, or after videos and can be skipped after 5 seconds. Advertisers are only charged if viewers watch 30 seconds or more (or the entire ad if it is shorter).
2. **Non-Skippable In-Stream Ads:** These 15- to 20-second ads cannot be skipped and ensure full viewer attention but come at a higher cost.
3. **Bumper Ads:** These are non-skippable, 6-second videos designed for brand awareness and quick messages.
4. **Overlay Ads:** Semi-transparent banners that appear on the lower portion of a video on desktop/laptop only.
5. **Display Ads:** These appear to the right of the featured video and above the video suggestions list.

6. **Sponsored Cards:** These display content relevant to the video, such as products featured in it.

Deciding Where to Advertise

The world of display ads doesn't end with GDN and Facebook ads, as many other popular ad networks, such as LinkedIn Ads, TikTok Ads, and Snapchat Ads, are not discussed here. The choice of ad platform largely depends on the targeting option the network provides, the coverage, that is, which target segment it can reach, ad formats and their impact, and last but not least, the comparative CPC and ROMI one gets from the particular platform. Nonetheless, as discussed in Chapter 4, Google and Facebook rule the advertising world, with more than 55% of advertising spending globally.²⁶ Interestingly, both platforms are very competitive regarding CPC, as illustrated in Figure 7.9.

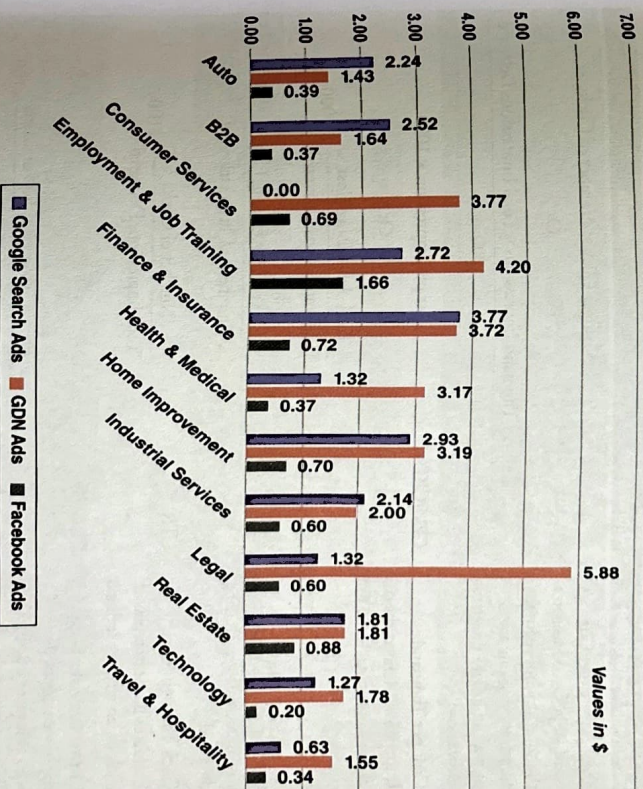


FIGURE 7.9

Industry-wise average CPC for various types of campaigns.

Source: Compiled from <https://www.wordstream.com/blog/ws/2017/02/28/facebook-advertising-benchmarks> and <https://www.wordstream.com/cost-per-click> (accessed December 16, 2024).

²⁶ <https://www.themediacaptrain.com/google-vs-facebook-ads-which-is-best-for-advertisers/> (accessed December 22, 2024).

Measuring Advertising Performance: The Metrics

Evaluating the success of advertising campaigns is crucial for optimizing strategies, maximizing returns, and achieving business goals. Metrics provide actionable insights into how ads perform, guiding advertisers in understanding what resonates with their audience and where improvements are needed. From assessing overall costs to gauging audience engagement and conversions, these key performance indicators (KPIs) help determine the effectiveness and efficiency of campaigns. While the focus is on driving traffic, generating leads, or increasing brand awareness, ensuring the right metrics ensures that advertising efforts are aligned with desired outcomes, enabling data-driven decision-making and continuous improvement. Chapter 11 discusses these aspects of advertising in detail. Table 7.5 lists the important metrics which help in evaluations ad performance and their formulas.

TABLE 7.5 Key Metrics and Formulas for Evaluating Advertising Performance

Name and Description	Abbreviation	Formula
Total Advertising Cost/ Campaign Cost: Measures the total amount spent on an advertising campaign, providing insight into budget utilization		Cost per Click $\times$ Number of Clicks Or Cost per Thousand Impressions $\times$ Total Impressions Delivered 1000
Cost per Thousand Impressions: Reflects the cost of showing an ad 1,000 times	CPM/CPT	Cost per Impression $\times$ 1000 Or $\frac{\text{Total Advertising Cost}}{\text{Total Impressions Delivered}} \times 1000$
Cost per Click: Measures the cost incurred for each click on an ad	CPC	$\frac{\text{Total Advertising Cost}}{\text{Number of Clicks Delivered}}$
Click Through Rate: Evaluates how often people click on an ad after seeing it	CTR	$\frac{\text{Number of Clicks}}{\text{Total Impressions Delivered}} \times 100$
Conversion Rate: Measures the percentage of users who complete a desired action, such as a purchase or sign-up, after interacting with an ad	CR	$\frac{\text{Number of Customers Who Purchased}}{\text{Total Ad Clicks}} \times 100$
Cost per Lead: Tracks the cost of acquiring customer credentials for further follow-up	CPL	$\frac{\text{Total Advertising Cost}}{\text{Number of Leads Generated}}$

(Continued)

Name and Description	Abbreviation	Formula
Cost per Acquisition: Tracks the cost of acquiring a customer	CPA	$\frac{\text{Total Advertising Cost}}{\text{Number of Customers Acquired}}$
Return on Marketing Investment: Assesses the financial return generated from advertising compared to the cost, indicating overall marketing effectiveness	ROMI	$\frac{\text{Contribution} - \text{Total Advertising Cost}}{\text{Total Advertising Cost}} \times 100$

where Contribution = Total Revenue Generated – Cost of Goods Sold.

When a contribution is more than the advertising cost, the campaign is profitable; otherwise, it is loss-making.

$$\text{Or} \quad \frac{\text{Profit / Loss}}{\text{Total Advertising Cost}} \times 100$$

$$\text{Or} \quad \frac{(\text{Incremental Revenue} \times \text{Gross Margin}) - \text{Marketing Investment}}{\text{Marketing Investment}} \times 100$$

where Incremental Revenue is the Total Sales Generated by the Particular Advertising Campaign and Marketing Investment is the Total Campaign Cost

EXAMPLE 7.1 Solving the ROMI Puzzle Across Campaigns

The table below shows incomplete data about two advertising campaigns an online aquarium retailer runs. Using the respective formulas, we will find all the missing (shaded) values in the table. Finally, we will also find out which campaign—display ad or search ad—had a higher ROMI.

This will enable us to understand how PPL and PPC pricing models can be compared and how to find a ROMI for campaigns. Moreover, it will also give us a clear understanding of how all the metrics can be computed. This may look daunting at first, but it is easy.

Metric	Campaign 1: Display Ad	Campaign 2: Search Ad
Pricing model	Pay per thousand impressions (PPI)	Pay per click (PPC)
Impressions delivered	2,000,000	3,000,000
Cost per thousand impressions (CPM)	₹80	
Cost per click (CPC)		₹1.5
Total ad clicks	80,000	100,000

(Continued)

Metric	Campaign 1: Display Ad	Campaign 2: Search Ad
Campaign cost		
Click through rate		
Customers who purchased	2,400	2,500
Conversion rate (CR)		
Cost per acquisition (CPA)		
Average contribution per sale	₹250	₹230
Total contribution		
Total profit		
Return on marketing investment (ROMI)		

Solution

We use the formulas from Table 7.5 to find the values.

Let us first find out *campaign cost*:

Metric	Display Ad	Search Ad
Campaign cost	$= \frac{₹80 \times 2,000,000}{1,000}$ $= ₹160,000$	$= ₹1.5 \times 100,000$ $= ₹150,000$

Next, let us learn about CPM and CPC. It is important to note that we can find comparable CPC for a CPM-based campaign and vice-versa.

Metric	Display Ad	Search Ad
CPC	$= \frac{₹160,000}{80,000} = 2$	₹1.5 (already given)
CPM	₹80 (already given)	$= \frac{₹150,000}{3,000,000} \times 1,000 = ₹2$

CTR is an important metric that tells the percentage rate at which an ad clicks.

Metric	Display Ad	Search Ad
CTR (in percentage)	$= \frac{80,000}{200,000} \times 100 = 4.00\%$	$= \frac{100,000}{300,000} \times 100 = 3.33\%$

Next, we calculate CR to understand how many customers converted from each campaign.

Metric	Display Ad	Search Ad
CR	$= \frac{2,400}{80,000} \times 100 = 3.00\%$	$= \frac{2,500}{100,000} \times 100 = 2.50\%$

Now, let's calculate CPA. It is understood that if CPA is higher than the average contribution per customer, the campaign will run into a loss.

Metric	Display Ad	Search Ad
CPA	$= \frac{₹180,000}{2,400} = ₹66.67$	$= \frac{₹150,000}{2,500} = ₹60$

Total contribution and total profit are calculated as:

Metric	Display Ad	Search Ad
Total contribution	$= 2,400 \times ₹250 = ₹600,000$	$= 2,500 \times ₹230 = ₹575,000$
Total profit/loss	$₹600,000 - 160,000 = ₹440,000$	$₹575,000 - 150,000 = ₹425,000$

Finally, we calculate the ROMI. We can see that both campaigns were profitable, but we must determine which delivered a higher profit percentage.

Metric	Display Ad	Search Ad
ROMI (in percentage)	$= \frac{₹440,000}{₹160,000} = 275.00\%$	$= \frac{₹440,000}{₹150,000} = 283.33\%$

Therefore, based on the calculations, we found that Campaign 2 (Search Ad) was slightly more profitable and had a ROMI of 283.33%.

Similarly, we can find and compare the profitability of advertising campaigns across platforms and even compare it with other marketing endeavors.

SUMMARY

This chapter delves into the intricacies of executing ad campaigns across various popular advertising platforms, such as Google Ads and Meta Ads. The discussion covers the detailed steps in creating effective advertising campaigns, highlighting similarities and differences in making search and display ads.

Search ads primarily utilize keyword-based targeting, enabling advertisers to reach users actively searching for specific terms. In contrast, display ads employ a broader range of targeting criteria, including placements, topics, and other factors, to reach audiences based on their interests and browsing behavior. These diverse targeting options empower advertisers to zero in on specific audiences more likely to convert into profitable customers.

Advertising platforms offer a variety of tools to enhance the planning and execution of advertising campaigns. For instance, Google Ads provides Keyword Planner, a tool designed to help advertisers identify a range of relevant keywords, and Performance Planner, which allows them to create detailed spending plans and assess how changes to their campaigns might impact key performance metrics. Additionally, conversion tracking is a vital feature that enables advertisers to monitor user behavior after the click on an advertisement, providing valuable insights into campaign effectiveness. Beyond Google Ads, platforms like Facebook offer extensive reach and attractive ad formats. Facebook Ads can be a powerful tool for advertisers leveraging the platform's vast user base and sophisticated targeting capabilities. This chapter underscores the importance of understanding and utilizing different ad platforms' unique features and tools to optimize advertising efforts and achieve the desired outcomes.

REVIEW QUESTIONS

1. What are the key goals one can set for a Google Ads advertising campaign, and how do they cater to different marketing objectives?
2. How does Facebook Ads empower advertisers to pinpoint their audience with precision?
3. What are the various methods for purchasing online advertisements, and how do they differ in approach and pricing?
4. What is ad rank, and why is it pivotal in enhancing advertising performance on platforms like Google Ads?

CLASS ACTIVITY

1. Digital Advertising Campaign Simulation

Objective: Students will apply strategic planning skills to design a comprehensive digital advertising campaign for a selected product or service, focusing on audience targeting, platform selection, messaging, and performance measurement.

Set-up: Students work individually or in small teams. Each participant/team will choose a product or service to promote—such as a fitness app, eco-friendly water bottles, or an online learning platform—and assume the role of a digital advertising strategist.

Scenario brief: Each team will build a detailed advertising campaign by completing the following steps:

- **Market analysis:** Conduct research to define the target audience's demographics, behaviors, and preferences. Analyze competitor campaigns to identify trends, gaps, and opportunities.
- **Campaign objectives:** Set clear goals using the SMART framework (e.g., "Increase website traffic by 20% in 3 months").
- **Ad format and strategy:** Select appropriate ad types (e.g., search ads for initial display ads for awareness) and justify choices based on campaign objectives.

- **Pricing model:** Choose between models like PPC (pay per click) or CPM (cost per mille) and explain how the selected model supports the campaign strategy.
- **Customer persona:** Develop a detailed persona using demographic, geographic, and behavioral data to refine targeting.
- **Creative assets:** Outline required ad creatives—such as banners, headlines, or videos—that align with brand identity and resonate with the audience.
- **Performance metrics:** Define how success will be measured (e.g., CTR, conversions, cost per acquisition) and list tools for tracking (e.g., Google Ads, Meta Ads Manager).

Students will present their campaign strategy in a pitch-style format, demonstrating how each component supports the overall goal of driving digital engagement and conversion.

ANNEXURE 7.1

Google Ads Performance Summary

Campaign	Impressions				Clicks				Conversions			
	Count	Cost	CTR	Value	Count	Cost	CTR	Value	Count	Cost	CTR	Value
1. Ad - Google Brand	3,034	\$1,096.85	\$0.36	2,131	2,835	28.71%	6.16	0.32%	9	\$489.70	0.32%	\$489.70
2. Ad - Apparel	312 (18.2%)	\$138.33 (12.4%)	\$0.44	181 (8.4%)	212 (7.4%)	38.6%	4.84	0.8%	1 (11.1%)	\$11.00 (2.2%)	0.8%	\$6.00 (1.2%)
3. Ad - YouTube	246 (8.1%)	\$122.21 (11.2%)	\$0.53	98 (4.3%)	117 (4.1%)	59.8%	2.95	0.8%	1 (11.1%)	\$6.00 (1.2%)	0.8%	\$6.00 (1.2%)
4. Ad - Accessories	147 (4.8%)	\$72.13 (6.5%)	\$0.50	33 (1.4%)	48 (1.6%)	66.0%	3.38	0.07%	0 (0.0%)	\$0.00 (0.0%)	0.07%	\$0.00 (0.0%)
5. Ad - Bags	114 (3.8%)	\$68.72 (6.2%)	\$0.60	46 (2.0%)	77 (2.7%)	37.6%	5.32	0.00%	0 (0.0%)	\$0.00 (0.0%)	0.00%	\$0.00 (0.0%)

ANNEXURE 7.2

Tools Mentioned in This Chapter

Tool	Classification	Link
Facebook Text Overlay Checker	Free	https://www.facebook.com/ads/tools/text_overlay
Google Keyword Planner	Free	https://ads.google.com/intl/en_in/home/tools/keyword-planner/